



Global Atlantic Ivy Re III Limited

Financial statements

As of December 31, 2025

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Financial statements

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INDEPENDENT AUDITOR'S REPORT

To the Board of Directors of
Global Atlantic Ivy Re III Limited

Opinion

We have audited the financial statements of Global Atlantic Ivy Re III Limited (the "Company"), which comprise the balance sheet as of December 31, 2025, and the related statement of comprehensive income (loss), shareholder's equity, and cash flows for the period from inception to December 31, 2025, and the related notes to the financial statements (collectively referred to as the "financial statements").

In our opinion, the accompanying financial statements present fairly, in all material respects, the financial position of the Company as of December 31, 2025, and the results of its operations and its cash flows for the period then ended in accordance with accounting principles generally accepted in the United States of America.

Basis for Opinion

We conducted our audit in accordance with auditing standards generally accepted in the United States of America (GAAS). Our responsibilities under those standards are further described in the Auditor's Responsibilities for the Audit of the Financial Statements section of our report. We are required to be independent of the Company and to meet our other ethical responsibilities, in accordance with the relevant ethical requirements relating to our audit. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our audit opinion.

Responsibilities of Management for the Financial Statements

Management is responsible for the preparation and fair presentation of the financial statements in accordance with accounting principles generally accepted in the United States of America, and for the design, implementation, and maintenance of internal control relevant to the preparation and fair presentation of financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the financial statements, management is required to evaluate whether there are conditions or events, considered in the aggregate, that raise substantial doubt about the Company's ability to continue as a going concern for one year after the date that the financial statements are available to be issued.

Auditor's Responsibilities for the Audit of the Financial Statements

Our objectives are to obtain reasonable assurance about whether the financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinion. Reasonable assurance is a high level of assurance but is not absolute assurance and therefore is not a guarantee that an audit conducted in accordance with GAAS will always detect a material misstatement when it exists. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control. Misstatements are considered material if there is a substantial likelihood that, individually or in the aggregate, they would influence the judgment made by a reasonable user based on the financial statements.

In performing an audit in accordance with GAAS, we:

- Exercise professional judgment and maintain professional skepticism throughout the audit.
- Identify and assess the risks of material misstatement of the financial statements, whether due to fraud or error, and design and perform audit procedures responsive to those risks. Such procedures include examining, on a test basis, evidence regarding the amounts and disclosures in the financial statements.
- Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the Company's internal control. Accordingly, no such opinion is expressed.
- Evaluate the appropriateness of accounting policies used and the reasonableness of significant accounting estimates made by management, as well as evaluate the overall presentation of the financial statements.
- Conclude whether, in our judgment, there are conditions or events, considered in the aggregate, that raise substantial doubt about the Company's ability to continue as a going concern for a reasonable period of time.

We are required to communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit, significant audit findings, and certain internal control-related matters that we identified during the audit.

Deloitte & Touche LLP

April 23, 2026

GLOBAL ATLANTIC IVY RE III LIMITED

BALANCE SHEET

	As of December 31,	
	2025	
(\$ in thousands)		
Assets		
Investments:		
Funds withheld receivable at interest (portion at fair value: \$7,910.)	\$	1,991,907
Other investments at fair value		391
Total investments		1,992,298
Cash and cash equivalents		141,397
Accrued investment income		338
Reinsurance receivable		14,257
Other assets		70,079
Total assets		2,218,369
Liabilities		
Policy liabilities (portion at fair value: \$79,031.)		1,835,738
Other liabilities		69,640
Reinsurance liabilities		57,694
Total liabilities		1,963,072
Commitment and contingencies (Note 13)		
Shareholder's equity		
Common stock, \$1 par value, 250,000 shares authorized, issued, and outstanding		250
Additional paid-in capital		263,314
Retained earnings (deficit)		(8,267)
Total shareholder's equity		255,297
Total liabilities and shareholder's equity	\$	2,218,369

See accompanying notes to financial statements.

GLOBAL ATLANTIC IVY RE III LIMITED

STATEMENT OF COMPREHENSIVE INCOME (LOSS)

	Period from inception to December 31,
	2025
(\$ in thousands)	
Revenues	
Policy fees	\$ 49
Net investment income (loss)	42,427
Net investment-related gains (losses)	14,679
Total revenues	57,155
Benefits and expenses	
Policy benefits and claims (remeasurement (gain) loss on policy liabilities: \$669.)	(21,636)
Insurance expenses	73,829
General and administrative expenses	12,822
Total benefits and expenses	65,015
Gains (losses) before income taxes	(7,860)
Income tax expense (benefit)	407
Net income (loss)	(8,267)
Other comprehensive income (loss)	—
Comprehensive income (loss)	\$ (8,267)

See accompanying notes to financial statements.

GLOBAL ATLANTIC IVY RE III LIMITED

STATEMENT OF SHAREHOLDER'S EQUITY

	Common stock	Additional paid-in capital	Retained earnings (deficit)	Accumulated other comprehensive income (loss)	Total shareholder's equity
(\$ in thousands)					
Balance as of inception	\$ —	\$ —	\$ —	\$ —	\$ —
Net income (loss)	—	—	(8,267)	—	(8,267)
Other comprehensive income (loss)	—	—	—	—	—
Capital contributions	250	265,483	—	—	265,733
Placement fees	—	(2,169)	—	—	(2,169)
Balance as of December 31, 2025	\$ 250	\$ 263,314	\$ (8,267)	\$ —	\$ 255,297

See accompanying notes to financial statements.

GLOBAL ATLANTIC IVY RE III LIMITED

STATEMENT OF CASH FLOWS

	Period from inception to December 31,
	2025
(\$ in thousands)	
Cash flows from operating activities	
Net income (loss)	\$ (8,267)
Adjustments to reconcile net income (loss) to net cash provided by (used in) operating activities:	
Net investment and policy liability related (gains) losses	64,352
Interest credited to policy account balances less policy fees	31,859
Changes in operating assets and liabilities:	
Change in premiums, funds withheld, and reinsurance receivable, net of reinsurance premiums payable	(1,933,825)
Change in accrued investment income	(338)
Change in policy liabilities and accruals, net	(38,551)
Other operating activities, net	3,187
Net cash provided by (used in) operating activities	(1,881,583)
Cash flows from investing activities	
Purchase of other investments	(357)
Net cash provided by (used in) investing activities	(357)
Cash flows from financing activities	
Additions to contractholder deposit funds	1,806,955
Withdrawals from contractholder deposit funds	(43,556)
Issuance of common stock	250
Capital contributions	265,483
Other financing activities, net	(5,795)
Net cash provided by (used in) financing activities	2,023,337
Net change in cash and cash equivalents	141,397
Cash and cash equivalents, beginning of period	—
Cash and cash equivalents, end of period	\$ 141,397

See accompanying notes to financial statements.

NOTES TO FINANCIAL STATEMENTS

(1) Nature of business and basis of presentation

Global Atlantic Ivy Re III Limited ("Ivy Re III," the "Company," we, our, or us) was incorporated on August 14, 2024, and is a Bermuda exempted limited liability company, registered under the Insurance Act 1978 as a Class E insurer. The Company serves the reinsurance marketplace as a reinsurer primarily for transactions sourced, negotiated, and underwritten by subsidiaries of Global Atlantic Limited (Delaware) ("the Sponsor," "Global Atlantic," or "GALD"). The reinsurance solutions include primarily reinsurance of a share of future premiums ("flow reinsurance"). The Company operates independently, leveraging Global Atlantic's proven reinsurance expertise. Through the co-investment framework, the Company accesses an attractive opportunity to deploy investor capital while assisting life and annuity companies in addressing capital, risk management, and strategic objectives.

The financial statements have been prepared in accordance with accounting principles generally accepted in the United States of America ("U.S. GAAP"), which differ in certain respects from those followed in reports to the Bermuda Monetary Authority (the "BMA"), the insurance regulatory authority of Ivy Re III.

The financial statements reflect the reinsurance transactions entered into between Ivy Re III and the ceding insurance company, Global Atlantic Re Limited ("GA Re") ("Sponsor Insurance Subsidiary"). These reinsurance transactions comprise flow reinsurance transactions, as described in Note 10 — "Reinsurance."

The preparation of financial statements in conformity with U.S. GAAP requires the Company to make estimates and assumptions that affect the reported amounts of assets and liabilities, the disclosure of any contingent assets and liabilities as of the date of the financial statements, and the amounts of revenues and expenses recognized during the reporting period. Amounts based on such estimates involve numerous assumptions subject to varying and potentially significant degrees of judgment and uncertainty, particularly related to the future performance of the underlying business. Actual experience could materially differ from these estimates and assumptions. The most significant estimates are those used in determining valuation and impairment of investments, valuation of embedded derivatives, and valuation of policy liabilities.

(2) Significant accounting policies

The following are the Company's significant accounting policies and references to notes providing additional information on policies:

Accounting policy	Note
Investments	3, 4, and 5
Composition of other assets, liabilities, insurance expenses, and general and administrative expenses	6
Policy liabilities	7
Income taxes	9
Reinsurance	10

Investments

In the normal course of business, the Company enters into reinsurance transactions with the Sponsor Insurance Subsidiary and invests surplus assets in various types of investments.

NOTES TO FINANCIAL STATEMENTS

Investments include funds withheld receivable at interest ceded by the Sponsor Insurance Subsidiary and other investments.

Funds withheld receivable at interest

Funds withheld receivable at interest represent receivables for amounts contractually withheld by the Sponsor Insurance Subsidiary, in accordance with reinsurance agreements in which the Company acts as the reinsurer. While the assets in funds withheld are legally owned by the ceding company, the assets are separately identified and held in trusts for the benefit of the Company. All economic rights and obligations on the assets accrue to the Company. The assets in the funds withheld segregated accounts are typically managed by an investment manager, who periodically settles the total return from those assets.

The reinsurer has an indirect exposure to the credit risk of the underlying assets of the funds withheld account. As a result, funds withheld coinsurance agreements contain embedded derivatives, which are required to be separated from their host contracts and measured at fair value. The host contract relates to the reinsurance receivable from Sponsor Insurance Subsidiary under the funds withheld arrangement underlying the reinsurance transactions. The host contract, at inception of the reinsurance arrangement, represented the fair value of the non-cash consideration. The embedded derivative represents the difference between the fair value of the underlying assets and the carrying value of the host contract at the balance sheet date. The fair value of the embedded derivative is included in the funds withheld receivable at interest on the balance sheet, with changes in fair value recorded in net investment-related gains (losses) in the statement of comprehensive income (loss).

Investments segregated in trusts to collateralize the funds withheld receivable at interest include the following: fixed maturity securities, mortgage and other loan receivables, policy loans, other investments, and derivative instruments.

Derivative instruments held within the funds withheld at interest are primarily used to hedge certain risks, including interest rate risk and equity market risk, and to a lesser extent foreign exchange risks. Derivative instruments are generally recognized at estimated fair value in funds withheld receivable at interest on the balance sheet.

Other investments

Other investments in the balance sheet include the Company's investments in investment partnerships or limited liability companies, for which the Company does not have voting control or power to direct activities. These investments are accounted for using the equity method of accounting, unless the Company's interest is so minor that it has virtually no influence over partnership operating or financial policies. The equity method of accounting requires that the investments be initially recorded at cost, and the carrying amount of the investment subsequently be adjusted to recognize the Company's share of the earnings and losses of the investee. Where there is a difference between the cost of the investment and the Company's proportionate share of the equity method investee's net assets, this basis difference is accreted to net investment income (loss) over the life of the underlying assets. In applying the equity method, the Company uses financial information provided by the investee, generally on a one to three month lag due to the timing of the receipt of related financial statements. For those investments in which we are determined to have virtually no influence, the Company accounts for its investment as an equity security.

The income from the Company's equity method investments is included in net investment income (loss) in the statement of comprehensive income (loss). The Company generally elects to apply the fair value option to its interests in investment partnerships or limited liability companies that would otherwise require equity method accounting. The investments that apply the fair value option, as well as those

NOTES TO FINANCIAL STATEMENTS

investments in which the Company is determined to have virtually no influence, are carried at fair value with unrealized gains and losses reported in net investment-related gains (losses) in the statement of comprehensive income (loss). Distributions from investment partnerships that apply equity method accounting are classified as investing or operating activities within the statement of cash flows, based on the nature of the distributions.

Investment credit losses and impairment

Funds withheld receivable at interest

The Company reviews its funds withheld receivable at interest for expected credit losses considering, among other things, relevant credit enhancements and collateral provisions in the reinsurance arrangements.

Other investments

Impairment of investments subject to the equity method of accounting is assessed whenever events or circumstances suggest that the carrying amount may not be recoverable. An impairment charge is recognized in earnings for a decline in value that is determined to be other than temporary, and is measured as the difference between the carrying amount and the fair value of the equity method investment as of the balance sheet date.

Cash and cash equivalents

Cash and cash equivalents in the balance sheet generally include short-term highly liquid investments with a maturity of three months or less from the date of acquisition. Amounts included are readily convertible to known amounts of cash, and are subject to an insignificant risk of change in value.

Policy liabilities

Policy liabilities (or collectively, “reserves”) are the portion of past premiums or assessments received that are set aside to meet future policy and contract obligations as they become due. Interest accrues on these reserves and on future premiums, which may also be available to pay for future obligations. The Company establishes reserves to pay future policy benefits, claims, and certain expenses for its reinsured life policies and annuity contracts.

Reserves are estimates based on models that include many actuarial assumptions and projections. These assumptions and projections, which are inherently uncertain, involve significant judgment, including assumptions as to the levels and/or timing of premiums, benefits, claims, expenses, interest credits, investment results (including equity market returns), mortality, longevity, and persistency.

The assumptions on which reserves are based are intended to represent an estimation of experience for the period that policy benefits are payable. The adequacy of these reserves and the assumptions underlying those reserves are reviewed at least annually. The Company cannot, however, determine with precision the amount or the timing of actual policy benefit payments. If actual experience is better than or equal to the assumptions, then reserves would be adequate to provide for future policy benefits and expenses. If experience is worse than the assumptions, additional reserves may be required to meet future policy and contract obligations. This would result in a charge to the Company’s net income (loss) during the period in which excess policy benefits are paid, or an increase in reserves occurs.

NOTES TO FINANCIAL STATEMENTS

Fixed-rate and fixed-indexed annuities

The Company reinsures fixed-indexed annuities and certain other fixed-rate annuity products, for which the policy liabilities are determined in a manner consistent with the accounting for a deposit liability using the "effective yield method."

Fixed-indexed annuities enable the policyholder to allocate contract value between a fixed crediting rate and strategies which reflect the change in the value of an index, such as the Standard & Poor's ("S&P") 500 Index, or other indices. These products are accounted for as investment-type contracts. The liability for these products consists of a combination of the underlying account value and an embedded derivative value.

The liability for the underlying account value is primarily based on policy guarantees, and its initial value is the difference between the premium payment and the fair value of the embedded derivative. Thereafter, the account value liability is determined using the effective yield method. All future host balances are determined as: (1) the initial host balance; (2) plus interest; (3) less applicable policyholder benefits. The interest rate used in the prior roll forward is re-determined on each valuation date, per the effective yield method. The embedded derivative component's fair value is based on an estimate of the policyholders' expected participation in future increases in the relevant index. The fair value of this embedded derivative component includes assumptions, including those about future interest rates and investment yields, future costs for options used to hedge the contract obligations, projected withdrawal and surrender activity, benefit utilization, and the level and limits on contract participation in any future increases in the respective index option. The account value liability and embedded derivative are recorded in policy liabilities in the balance sheet, with changes in value of the liabilities recorded in policy benefits and claims in the statement of comprehensive income (loss).

Reinsurance

The Company co-invests in annuity products with its Sponsor Insurance Subsidiary. In particular, consistent with the overall business strategy, the Company assumes certain policy risks written by other insurance companies on a funds withheld coinsurance basis. Reinsurance accounting is applied for these assumed transactions when risk transfer provisions have been met. To meet risk transfer requirements, a long-duration reinsurance contract must transfer mortality or morbidity risks, and subject the reinsurer to a reasonable possibility of a significant loss.

Reinsurance contracts do not relieve the Company from its obligations to policyholders, and failure of reinsurers to honor their obligations could result in losses to the Company; consequently, allowances are established for expected credit losses, via a charge to policy benefits and claims in the statement of comprehensive income (loss). The Company's funds withheld receivable at interest and reinsurance recoverable assets are reviewed for expected credit losses by considering credit ratings for each reinsurer, historical insurance industry specific default rate factors, rights of offset, expected recovery rates upon default, and the impact of other terms specific to the reinsurance arrangement.

For funds withheld agreements, the Company has the right to receive the total return on assets supporting the funds withheld receivable at interest. This indirectly exposes the Company to the credit risk of the underlying assets. As a result, funds withheld agreements are viewed as total return swaps, and accounted for as embedded derivatives. Embedded derivatives are required to be separated from the host contracts and measured at fair value, with changes in fair value recognized in net income (loss). Generally, the embedded derivative is measured as the difference between the fair value of the underlying assets and the carrying value of the host contract at the balance sheet date. The fair value of the embedded derivative is included in the funds withheld receivable at interest on the balance sheet. Changes in the fair value of the embedded derivative are reported in operating activities on the statement of cash flows.

NOTES TO FINANCIAL STATEMENTS

Placement fees

Placement fees represent fees paid to agents that assist in raising capital for the Company and are reimbursed by the Sponsor. Placement fees are recognized in other assets in the balance sheet and are deducted from partners' capital, in the balance sheet when additional paid-in capital is called. Payments of placement fees are reported as a financing activity in the statement of cash flows.

The placement fees that are reimbursed by the Sponsor are recognized as a deduction from general and administrative expenses over the life of the Company's reinsurance transaction business. The reimbursement of the placement fees is reported as an operating activity in the statement of cash flows. The corresponding deferred expense reduction liability is included in other liabilities in the balance sheet.

Organization expenses

Organization expenses are for startup costs required to launch the Company. These costs are expensed as incurred. Organization expenses are reported as an operating activity in the statement of cash flows.

Recognition of insurance revenue and related benefits

Amounts received as payment for investment-type contracts are reported as deposits to contractholder account balances, and recorded in policy liabilities in the balance sheet. Revenues from these contracts consist primarily of fees assessed against the contractholder account balance for policy administration and surrender charges and are reported in policy fees in the statement of comprehensive income (loss). Additionally, the Company earns investment income from the investment of contract deposits, generated through the Company's funds withheld receivable, which is reported in net investment income (loss) in the statement of comprehensive income (loss).

Income taxes

The Company operates in jurisdictions where they are subject to taxation. Income taxes are provided for using the asset and liability method under which deferred tax assets and liabilities are recognized for temporary differences between the financial reporting and tax basis of assets and liabilities.

The Company evaluates the likelihood of realizing the benefit of deferred tax assets and may record a valuation allowance if, based on the weight of all available evidence, the Company determines that it is not more-likely-than-not that some or all of the tax benefit will be realized. The Company adjusts the valuation allowance if, based on its evaluation, there is a change in the amount of deferred income tax assets that are deemed more-likely-than-not to be realized.

The Company recognizes tax positions in the financial statements only when it is more-likely-than-not that the position will be sustained on examination by the relevant taxing authority, based on the technical merits of the position. A position that meets this standard is measured at the largest amount of benefit that will more-likely-than-not be realized upon effective settlement with the related taxing authority. A liability is established for differences between positions taken on a tax return and amounts recognized in the financial statements.

The Company records the effect of changes in tax laws or rates at the date of enactment. The total effect of a tax law or rate change on the deferred tax balance is recorded as a component of tax expense related to continuing operations for the period in which the law is enacted.

NOTES TO FINANCIAL STATEMENTS

Future application of accounting standards

Improvements to income tax disclosures

In December 2023, the Financial Accounting Standards Board ("FASB") issued Accounting Standards Update ("ASU") 2023-09 "Improvements to Income Tax Disclosures" ("ASU 2023-09"). ASU 2023-09 intends to enhance the transparency and decision usefulness of income tax disclosures, requiring disaggregated information about an entity's effective tax rate reconciliation as well as income taxes paid. The guidance is effective for annual periods beginning after December 15, 2025, with early adoption permitted. The guidance is not expected to have a material impact on the Company's financial statements.

Measurement of Credit Losses for Accounts Receivable and Contract Assets

In July 2025, the FASB issued ASU 2025-05, "Financial Instruments—Credit Losses (Topic 326): Measurement of Credit Losses for Accounts Receivable and Contract Assets" ("ASU 2025-05"). ASU 2025-05 simplifies the application of the current expected credit loss model for current accounts receivable and current contract assets under ASC 606. The update will be effective for annual periods and interim periods in annual reporting periods beginning after December 15, 2025. Early adoption is permitted. The Company is currently evaluating the impact of adopting this guidance on its financial statements.

(3) Investments**Funds withheld receivable at interest**

As a reinsurance business, the Company is subject to the investment performance of the assets in the funds withheld receivable at interest. In the event of a ceding company's insolvency, the Company would need to assert a claim on the assets supporting its reserve liabilities. However, the risk of loss to the Company is mitigated by its ability to offset amounts it owes the ceding company for claims or allowances against amounts owed to it from the ceding company. As of December 31, 2025, the assets held supporting the reinsurance agreement were held by a Sponsor Insurance Subsidiary. The cedant, GA Re, has a financial strength rating of "A" from S&P.

Other investments

As of December 31, 2025, the Company had \$391 thousand of investments in entities that own real estate. These investments qualify as equity method investments; however, the Company has elected to apply the fair value option. The Company's maximum exposure to loss related to these investments is limited to the carrying value of these investments.

Net investment income (loss)

Net investment income (loss) is comprised primarily of interest income and income from funds withheld receivable at interest.

The components of net investment income (loss) were as follows:

	Period from inception to December 31, 2025	
(\$ in thousands)		
Income assumed from funds withheld receivable at interest	\$	43,884
Short-term and other investment income		1,580
Gross investment income		45,464
Less investment expenses:		
Investment management fees		3,037
Net investment income (loss)	\$	42,427

NOTES TO FINANCIAL STATEMENTS

Net investment-related gains (losses)

Net investment-related gains (losses) were as follows:

	Period from inception to December 31,	
	2025	
(\$ in thousands)		
Unrealized gains (losses) on embedded derivative included in funds withheld receivable at interest	\$	7,910
Realized gains (losses) on funds withheld receivable at interest		6,735
Unrealized gains (losses) on other investments		34
Net investment-related gains (losses)	\$	14,679

(4) Derivatives

The Company has embedded derivatives related to reinsurance contracts that are accounted for on a funds withheld basis; an embedded derivative exists because the arrangement exposes the reinsurer to third-party credit risk. The Company also has embedded derivatives related to insurance liabilities including fixed-indexed annuities. These embedded derivatives are included in funds withheld receivable at interest and policy liabilities in the balance sheet.

The fair value of the derivatives was as follows:

	As of December 31,	
	2025	
(\$ in thousands)		
Embedded derivative – funds withheld receivable at interest	\$	7,910
Embedded derivative – annuity products		79,031

(5) Fair value disclosure of financial instruments

The fair value of a financial instrument is the amount that would be received to sell an asset or paid to transfer a liability in an orderly transaction between market participants at the measurement date (the exit price). The best evidence of fair value is a quoted price in an active market. If listed prices or quotations are not available, fair value is determined by reference to prices of similar instruments and quoted prices or recent prices in less active markets.

U.S. GAAP establishes a three-level valuation hierarchy, based upon observable and non-observable inputs. Observable inputs reflect market data obtained from independent sources, while unobservable inputs reflect the Company's market assumptions. The fair value hierarchy prioritizes inputs to the valuation techniques used to measure fair value, giving the highest priority to Level 1 inputs, and the lowest priority to Level 3 inputs. A financial instrument's level in the fair value hierarchy is based on the lowest level of any input that is significant to fair value measurement of the financial instrument. The three levels of the fair value hierarchy are described below:

Basis of fair value measurement

Level 1: Unadjusted quoted prices in active markets to which the Company had access at the measurement date for identical, unrestricted assets and liabilities.

NOTES TO FINANCIAL STATEMENTS

Level 2: Inputs to valuation techniques are observable either directly or indirectly through quoted prices for similar instruments in active markets; quoted prices for identical or similar instruments in markets that are not active; and model-derived valuations whose inputs are observable or whose significant value drivers are observable; and

Level 3: Model-derived, where one or more inputs to the valuation techniques are significant and unobservable.

The measurement of Level 3 financial instrument fair values uses unobservable inputs that are based on management judgment and the internal determination of assumptions that market participants would use in valuing them. Valuation subjectivity increases when markets are less liquid due to the lack of more transparent, market-based inputs, which may increase the potential that estimated fair values are not reflective of the price at which an actual transaction would occur.

The following tables represent the hierarchy for the Company's assets and liabilities measured at fair value on a recurring basis:

As of December 31, 2025	Level 1		Level 2		Level 3		Total
(\$ in thousands)							
Assets:							
Embedded derivative - funds withheld receivable at interest	\$	—	\$	—	\$	7,910	\$ 7,910
Other investments		—		—		391	391
Total assets at fair value		—		—		8,301	8,301
Liabilities:							
Embedded derivative – annuity products		—		—		79,031	79,031
Total liabilities at fair value	\$	—	\$	—	\$	79,031	\$ 79,031

Fair value techniques and inputs

The following is a description of the valuation techniques and inputs used for instruments carried at fair value. The observability of the inputs used in the valuation determines the appropriate level in the fair value hierarchy for the respective asset or liability.

Investments

Other investments having one or more significant valuation inputs that are not observable are initially valued at transaction price, which is considered to be the best initial estimate of fair value. Subsequently, the Company uses other methodologies to determine fair value, which vary based on the type of investment.

Valuation inputs and assumptions are changed when corroborated by substantive observable evidence, including values realized on sales.

Funds withheld receivable at interest and policy liabilities

A portion of the funds withheld receivable at interest carried at fair value represents embedded derivatives, and is valued based on the fair value of the underlying investments, which includes significant unobservable inputs. Other embedded derivative liabilities are related to the Company's fixed-indexed annuity products, which contain equity-indexed features. The Company calculates the embedded

NOTES TO FINANCIAL STATEMENTS

derivative liabilities as the present value of future projected benefits in excess of the projected guaranteed benefits, using an option budget as the indexed account value growth rate, and considering an adjustment to reflect the risk of nonperformance on the Company's obligation and inputs, such as projected withdrawal and surrender activity or mortality. The Company calculates instrument specific credit risk using a blend of observable peer holding company credit spreads, adjusted to reflect the claim paying ability of the Company's insurance entities, as well as an adjustment to reflect the priority of policy claims.

Fair value of assets and liabilities

Significant unobservable inputs

The tables below present significant unobservable inputs used to value the Company's Level 3 financial assets and liabilities, and includes only those items for which information is reasonably available, such as data from internal determinations of fair value.

As of December 31, 2025				
Level 3 assets ⁽¹⁾			Valuation techniques and significant unobservable inputs	Impact of an increase in the input on fair value
(\$ in thousands)				
Other investments	\$	391	Discounted cash flow - discount rate	Decrease
			Discounted cash flow - terminal capitalization rate	Decrease

- (1) The funds withheld receivable at interest embedded derivative has been excluded from the above table. As discussed in Note 10 - Reinsurance, the funds withheld receivable at interest is created through funds withheld contracts. The assets supporting these receivables were held in trusts and are part of the respective counterparty's balance sheet. Accordingly, the unobservable inputs utilized in the valuation of the embedded derivative are a component of the invested assets supporting the reinsurance agreements on the Company's balance sheet.

As of December 31, 2025				
Level 3 liabilities			Valuation techniques and significant unobservable inputs	Impact of an increase in the input on fair value
(\$ in thousands)				
Embedded derivative – annuity products	\$	79,031	Future costs for options used to hedge contract obligations	Increase
			Policyholder behavior is a significant unobservable input, including surrender and mortality	Decrease

NOTES TO FINANCIAL STATEMENTS

The tables below set forth a summary of gains and losses and changes in the fair value of the Company's Level 3 assets and liabilities during the dates indicated:

	Period from inception to December 31, 2025				
	Net realized and unrealized gains (losses) included in				
	Balance, beginning of period	Income	Other comprehensive income	Net settlements / purchases	Balance, end of period
(\$ in thousands)					
Assets:					
Embedded derivative - funds withheld receivable at interest	\$ —	\$ 7,910	\$ —	\$ —	\$ 7,910
Other investments	—	34	—	357	391
Total assets	—	7,944	—	357	8,301
Liabilities:					
Embedded derivative – annuity products	—	11,612	—	67,419	79,031
Total liabilities	\$ —	\$ 11,612	\$ —	\$ 67,419	\$ 79,031

Period from inception to December 31, 2025	Purchases	Issuances	Sales	Settlements	Net settlements / purchases
(\$ in thousands)					
Assets:					
Other investments	\$ 357	\$ —	\$ —	\$ —	\$ 357
Total assets	357	—	—	—	357
Liabilities:					
Embedded derivative – annuity products	—	67,459	—	(40)	67,419
Total liabilities	\$ —	\$ 67,459	\$ —	\$ (40)	\$ 67,419

(6) Composition of other assets, liabilities, insurance expenses, and general and administrative expenses

Other assets consist of the following:

	As of December 31, 2025
(\$ in thousands)	
Deferred organization, structuring, and setup costs	\$ 34,725
Miscellaneous assets ⁽¹⁾	35,354
Total other assets	\$ 70,079

(1) Includes related party receivable of \$35.4 million as of December 31, 2025.

NOTES TO FINANCIAL STATEMENTS

Other liabilities consist of the following:

	As of December 31, 2025
(\$ in thousands)	
Deferred expense reduction liability ⁽¹⁾	\$ 35,742
Accrued expenses and other payables ⁽²⁾	33,898
Total other liabilities	\$ 69,640

(1) Includes placement fees which are paid initially by the Company and then reimbursed by the Sponsor over time.

(2) Includes net affiliate payable amount of \$32.2 million as of December 31, 2025.

Insurance expenses consist of the following:

	Period from inception to December 31, 2025
(\$ in thousands)	
Commission expense	\$ 71,193
Reinsurance expense allowance	2,527
Excise tax and other insurance expenses	109
Total insurance expenses	\$ 73,829

General and administrative expenses consist of the following:

	Period from inception to December 31, 2025
(\$ in thousands)	
Professional services	\$ 10,789
Other miscellaneous general and administrative expenses	2,033
Total general and administrative expenses	\$ 12,822

(7) Policy liabilities

The following reflects the reconciliation of the components of policy liabilities to the total balance reported in the balance sheet as of the dates indicated:

	As of December 31, 2025
(\$ in thousands)	
Policyholders' account balances	\$ 1,756,707
Other policy-related liabilities ⁽¹⁾	79,031
Total policy liabilities	\$ 1,835,738

(1) Other policy-related liabilities consist of embedded derivatives associated with contractholder deposit funds \$79.0 million as of December 31, 2025.

NOTES TO FINANCIAL STATEMENTS

Policyholders' account balances

The following reflects the policyholders' account balances roll-forward and average interest rates and cash surrender value as of and for the dates indicated:

	Period from inception to December 31, 2025		
	Fixed rate annuities	Fixed-indexed annuities	Total
(\$ in thousands, except percentages)			
Balance as of the beginning of the period	\$ —	\$ —	\$ —
Issuances and premiums received	1,463,310	343,257	1,806,567
Benefit payments, surrenders, and withdrawals	(3,192)	(40,364)	(43,556)
Interest ⁽¹⁾	23,328	8,531	31,859
Other activity ⁽²⁾	(38,617)	454	(38,163)
Balance as of the end of the period	\$ 1,444,829	\$ 311,878	\$ 1,756,707
Average interest rate	5.75 %	6.03 %	5.80 %
Cash surrender value ⁽³⁾	\$ 1,410,536	\$ 374,322	\$ 1,784,858

(1) Interest includes interest credited to policyholders' account values and interest accreted in other components of the policyholders' account balance, including host amounts for contractholder deposits with embedded derivatives, and other associated reserves.

(2) Other activity includes policy charges, fees and commissions, transfers, and assumption changes.

(3) Cash surrender values are reported net of any applicable surrender charges.

The following table presents the account values by range of guaranteed minimum crediting rates and the related range of difference, in bps, between rates being credited to policyholders and the respective guaranteed minimums. Account value, as disclosed below, differs from policyholders' account balance, as it excludes balances associated with index credits, contractholder deposit fund host balances, and other associated reserves. In addition, the policyholder account balance includes discounts and premiums on assumed business which are not reflected in the account value.

Range of guaranteed minimum crediting rates	As of December 31, 2025					
	Account values with adjustable crediting rates subject to guaranteed minimums:					Total
	At guaranteed minimum	1 - 49 bps above guaranteed minimum	50 - 99 bps above guaranteed minimum	100 - 150 bps above guaranteed minimum	Greater than 150 bps above guaranteed minimum	
(\$ in thousands, except percentages)						
Less than 1.00%	\$ 8,934	\$ —	\$ —	\$ —	\$ —	\$ 8,934
1.00% - 1.99%	89	—	—	8	1,115,755	1,115,852
2.00% - 2.99%	97,659	—	—	—	—	97,659
3.00% - 4.00%	31,020	27	—	50	2,633	33,730
Greater than 4.00%	287,824	—	—	—	—	287,824
Total	\$ 425,526	\$ 27	\$ —	\$ 58	\$ 1,118,388	\$ 1,543,999
Percentage of total	28 %	— %	— %	— %	72 %	100 %

NOTES TO FINANCIAL STATEMENTS

(8) Shareholder's equity

The maximum number of the Company shares authorized for issuance is 250,000 common shares, at par value of \$1 per share.

Capital contributions

For the December 31, 2025, the Company has received \$265.5 million, in capital contributions from its parent.

For information on dividend restrictions on Ivy Re III, please see Note 11—"Dividend restrictions and statutory information."

(9) Income taxes**Provision for income taxes**

The provision for income taxes represents U.S. federal and state income taxes and Bermuda taxes. The effective tax rate for the period from inception to December 31, 2025 differs from the U.S. federal statutory rate and the Bermuda Corporate Income Tax Act rate primarily due to the valuation allowance.

Income (loss) before income taxes is all attributable to the U.S. income.

The table below presents the components of the expense for taxes attributable to continuing operations:

	Period from inception to December 31,	
	2025	
(\$ in thousands)		
Current income tax expense (benefit):		
Federal	\$	407
State		—
Total current income tax expense (benefit)		407
Total tax expense (benefit)		\$ 407

The Company has operations in the U.S. and is subject to tax in the U.S. Ivy Re III is based in Bermuda, and intends to make an election under Internal Revenue Code ("IRC") Section 953(d) to be treated as a U.S. domestic insurance company and will file Form 1120 L for the period from inception to December 31, 2025. The election must be filed by the due date (including extensions) of the 2025 tax return, for which the election becomes effective.

The Company's federal income tax returns are routinely audited by the Internal Revenue Service ("IRS") and, when appropriate, provisions are made in the financial statements in anticipation of the results of these audits.

Bermuda enacted the Corporate Income Tax Act 2023 ("CITA") on December 27, 2023. The CITA introduces a 15% corporate income tax rate, effective for tax years beginning on or after January 1, 2025. There is a five-year deferred effective date for certain groups with a limited international footprint, defined as being in six or fewer jurisdictions and having tangible assets less than €50.0 million outside of the

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jurisdiction where the multinational enterprise group has the highest total value of tangible assets. The Company is part of a multinational enterprise group and is expected to qualify for the limited international footprint exemption to defer application of the CITA until 2030. As of December 31, 2025, a deferred tax asset of \$33 thousand in connection with the CITA was established along with a corresponding full valuation allowance as it is more-likely-than-not that the deferred tax asset will be realized in future periods based on all the available evidence.

The following table reconciles the effective income tax:

	Period from inception to December 31,
	2025
(\$ in thousands)	
Expected income tax expense (benefit) at weighted average rate	\$ (1,651)
Addition (reduction) in income tax resulting from:	
Disregarded entities	(23)
Change in valuation allowance	2,081
Total income tax expense (benefit)	\$ 407

Deferred income taxes

Deferred income taxes reflect the net effects of temporary differences between financial reporting and tax basis of assets and liabilities. These temporary differences result in taxable or deductible amounts in future years and are measured using the tax rates and laws that will be in effect when such differences are expected to reverse. Valuation allowances are established to reduce deferred tax assets to the amount that more-likely-than-not will be realized.

At each reporting date, management considers new evidence, both positive and negative, that could impact the future realization of deferred tax assets. Management will consider a release of the valuation allowance once there is sufficient positive evidence that it is more likely than not that the deferred tax assets will be realized. Any release of the valuation allowance will be recorded as a tax benefit increasing net income or OCI. As of December 31, 2025, a full valuation allowance was established on the consolidated ending net deferred tax asset balance of \$2.1 million.

The table below presents the significant components of deferred tax assets and liabilities:

	As of December 31,
	2025
(\$ in thousands)	
Deferred tax assets:	
Insurance reserves	\$ 2,121
Subtotal deferred tax assets	2,121
Valuation allowance	(2,113)
Total deferred tax assets	8
Deferred tax liabilities:	
Investments	(8)
Total deferred tax liabilities	(8)
Total deferred tax asset (liabilities), net	\$ —

NOTES TO FINANCIAL STATEMENTS

The Company may be subject to a variety of transfer pricing or permanent establishment challenges by taxing authorities in various jurisdictions. The completion of tax examinations may result in changes to the amounts recognized in the Company's financial statements.

Unrecognized tax benefits

The Company recognizes tax positions in the financial statements only when it is more-likely-than-not that the position will be sustained on examination by the relevant taxing authority based on the technical merits of the position. A position that meets this standard is measured at the largest amount of benefit that will more-likely-than-not be realized on settlement. A liability is established for differences between positions taken in a tax return and amounts recognized in the consolidated financial statements. The Company believes that its income tax filing positions and deductions will be sustained on audit and does not anticipate any adjustments that will impact the Company's balance sheets, income statements or cash flows. As of December 31, 2025, the Company did not record a liability related to accounting for uncertainty in income taxes.

Status of open tax years

The Company's federal income tax returns are routinely audited by the IRS and when appropriate, provisions are made in the financial statements in anticipation of the results of these audits.

U.S. withholding tax

U.S. withholding taxes have not been provided on undistributed earnings of the Company's as of December 31, 2025. Although U.S. withholding taxes may apply in the event the Company's pay a dividend, the Company has not accrued withholding taxes. Although it may be material to the Company's financial position and results of operations, the determination of the cumulative tax liability that would be subject to U.S. withholding taxes, if distributed, is not practicable to compute.

(10) Reinsurance

The Company has entered into a number of reinsurance treaties with Sponsor Insurance Subsidiary, whereby it assumes insurance risk on a funds withheld basis.

Effective April 1, 2025, the Company entered into a funds withheld coinsurance agreement with a Sponsor Insurance Subsidiary for flow business. As of December 31, 2025, the assumed annuity reserves are \$832.3 million.

Effective April 1, 2025, the Company entered into a funds withheld coinsurance agreement with a Sponsor Insurance Subsidiary for flow business. As of December 31, 2025, the assumed annuity reserves are \$576.4 million.

Effective July 1, 2025, the Company entered into a funds withheld coinsurance agreement with a Sponsor Insurance Subsidiary for flow business. As of December 31, 2025, the assumed annuity reserves are \$427.0 million.

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The effects of all reinsurance agreements on the balance sheet were as follows:

	As of December 31, 2025
(\$ in thousands)	
Policy liabilities:	
Assumed	\$ 1,835,738
Total policy liabilities	\$ 1,835,738

The Company determines the appropriate amount of reinsurance based on evaluation of the risks accepted and on market conditions (including the availability and pricing of reinsurance). The Company evaluates the financial condition and monitors concentrations of credit risk with its Sponsor Insurance Subsidiary. Based on its review of the Sponsor Insurance Subsidiary's financial statements and reputations in the reinsurance marketplace, the Company held no allowance for uncollectible amounts as of December 31, 2025.

As of December 31, 2025, the Company had \$2.0 billion of funds withheld receivable at interest, with a Sponsor Insurance Subsidiary related to funds withheld contracts. The assets supporting these receivables were held in trusts by the Sponsor Insurance company.

The effects of reinsurance on the statement of comprehensive income (loss) were as follows:

	Period from inception to December 31, 2025
(\$ in thousands)	
Assumed:	
Policy fees	\$ 49
Policy benefits and claims	(21,636)

The Company is contractually liable for U.S. federal excise taxes under the terms of the reinsurance treaties it has entered with the Sponsor Insurance Subsidiary. The obligation is calculated as 1% of premiums paid to the Company on a cash basis. The Company incurred \$110 thousand of excise tax expense for the period from inception to December 31, 2025. The excise tax expense is included in insurance expenses in the consolidated statement of comprehensive income (loss).

(11) Dividend restrictions and statutory information

Ivy Re III is subject to the Bermuda Insurance Act 1978, as amended, and related regulations (the "Bermuda Insurance Act").

The Bermuda Insurance Act limits the ability of Ivy Re III to pay dividends or make capital distributions by stipulating certain margin and solvency requirements, and by requiring approval from the BMA prior to a distribution of 15% or more of an insurer's total statutory capital as reported on its prior year statutory balance sheet. Moreover, an insurer must submit an affidavit to the BMA, sworn by at least two directors and the principal representative in Bermuda of the Bermuda insurer, at least seven days prior to payment of any dividend which would exceed 25% of an insurer's total statutory capital and surplus as reported on its prior year statutory balance sheet. The affidavit must state that, in the opinion of those swearing, the declaration of such dividend has not caused the insurer to fail to meet its relevant margins ("Bermuda

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Dividend Affidavit"). Accordingly, Ivy Re III may distribute up to: (1) 100% of statutory surplus; plus (2) an amount less than 15% of statutory capital, upon providing the BMA with a Bermuda Dividend Affidavit and meeting applicable solvency requirements, without BMA approval.

With respect to margin and solvency requirements, the Bermuda Insurance Act prohibits Ivy Re III from declaring or paying any dividends during any financial year if it is in breach of its solvency margin, or if the declaration or payment of such dividends would cause such a breach. If the insurer has failed to meet its minimum solvency margin on the last day of any financial year, such an insurer will also be prohibited, without the approval of the BMA, from declaring or paying any dividends during the next financial year. Ivy Re III is also prohibited from declaring or paying a dividend when it has failed to comply with its enhanced capital requirement, until such noncompliance is rectified.

As of December 31, 2025, Ivy Re III exceeded all relevant capital requirements. The aggregate amount of dividends and capital distributions permitted to be made from Ivy Re III, without a required approval from or a submission of an affidavit to the BMA during the year ended December 31, 2026, is \$100.0 million.

Statutory financial information

The Bermuda Insurance Act requires Ivy Re III to prepare and file statutory financial statements with the BMA in accordance with BMA prescribed or permitted practices that may differ from U.S. GAAP. For example, Bermuda statutory surplus differs from U.S. GAAP primarily due to a modification that permits Ivy Re III not to measure the embedded derivative included within certain funds withheld coinsurance agreements at fair value.

The Bermuda Insurance Act also requires Ivy Re III to maintain certain measures of solvency and liquidity. Ivy Re III's Bermuda statutory financial statements form the basis for assessing Ivy Re III's liquidity, minimum solvency margin, and class of registration. These financial statements in turn form the basis for the preparation of the insurer's economic balance sheet. The economic balance sheet approach is a principles-based valuation approach to determine an insurer's capital adequacy, and is used as the basis for determination of Ivy Re III's enhanced capital requirement.

(12) Related party transactions

The Company has an investment management service agreement with Kohlberg Kravis Roberts & Co. ("KKR"). KKR is the ultimate parent of the Company's Sponsor, GALD, and has the controlling vote of the Ivy Vehicle III's board of directors. KKR provides investment management services across the Company. The Company recorded expenses, included in net investment income (loss), for this agreement for the period from inception to December 31, 2025, of \$3.0 million. The Company had \$209 thousand receivable as of December 31, 2025.

The Company has agreements with certain affiliates under GALD. These affiliates agreed to provide personnel, management services, administrative support, the use of facilities, and such other services as the parties may agree from time to time. The Company recorded expenses period from inception to December 31, 2025 of \$671 thousand. The Company had \$35.4 million receivable as of December 31, 2025.

The Company has entered into a funds withheld coinsurance agreement with the cedant, Global Atlantic Re Limited, a licensed reinsurer, a wholly owned subsidiary of GALD. See Note 10 —"Reinsurance" for additional information regarding these transactions. As such, the aforementioned reinsurance transaction is considered a transaction with a related party.

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The Company has received capital commitments from its Limited Partners, establishing their economic interest in the Company. The Company had \$30.7 million net payable amount due to Global Atlantic Ivy US FinCo III LLC as of December 31, 2025. The Company had \$25 thousand net payable amount due to Global Atlantic Ivy Co-Invest Vehicle III ESC Feeder L.P. as of December 31, 2025. The Company had \$12 thousand net receivable amount due from Global Atlantic Ivy Co-Invest Vehicle III Feeder L.P. as of December 31, 2025.

(13) Commitments and contingencies**Contingencies****Legal matters**

As of the date of these financial statements, the Company is not involved in judicial, regulatory, or arbitration matters. The Company expects that they may, from time to time, be involved in judicial, regulatory, and arbitration proceedings concerning matters arising in connection with the conduct of the Company's business. The Company will, at such time, assess the reasonable probability that a loss may be incurred, and reflect any such reasonably probable loss on its financial statements.

(14) Subsequent events

The Company evaluated all events and transactions through April 23, 2026, the date the accompanying financial statements were available to be issued, that would merit recognition or disclosures in the financial statements, and determined that nothing arose that merits recognition or disclosure.

Subsequent to December 31, 2025, the Company has received \$58.0 million in capital contributions from its parent.